

Morgan Stanley Global Consumer & Retail Conference

Company Participants

- Toby David, Chief of Staff

Other Participants

- Eric A. Serotta, Morgan Stanley

Presentation

Eric A. Serotta {[BIO 6103216 <GO>](#)}

Good afternoon, everyone. I'm Eric Serotta from Morgan Stanley's beverage and household products team. And I'm very pleased to welcome Celsius Holdings back to Morgan Stanley's Global Consumer and Retail Conference.

Before we begin, please see the Morgan Stanley research website at www.morganstanley.com/researchdisclosures for important disclosures. And if you have any questions, you can reach out to your MS sales rep.

So, Celsius has been an incredible growth story over the past several years even with this year's slowdown is the number three energy drink in the U.S.

Joining us today from Celsius is Chief of Staff, Toby David. Toby, thanks for joining us and for the product samples, which has given us a boost to get through today.

Questions And Answers

Q - Eric A. Serotta {[BIO 6103216 <GO>](#)}

(Question And Answer)

To start out with clearly -- we're not in the place we thought we'd be from sitting here a year ago. Growth has slowed more than expected. Looking back, can you discuss the drivers of the slowdown and sort of disaggregate that between some of the cyclical factors like macros and the category and some of the more structural factors, much larger base today, increased competition, things like that?

A - Toby David {[BIO 20749891 <GO>](#)}

Yes, sure. First, I'd like to thank you and Morgan Stanley. You put on a terrific show every year, so great to be up here in New York City. I'd say this, it's not a better category to be playing in within beverage or even all of consumer goods than energy. There's not a better category that I'd rather be a disruptor in than energy. When you look at the category as a whole, the energy category has really outpaced total beverage for many years. And even during this macroeconomic downturn for all of consumer goods, energy is still growing. So, I'd like to kind of put that out there first.

Now, that being said, your question was more targeted towards Celsius, so I'll kind of tackle what's been going on the past 6 to 12 months with us. We're really excited about where we're

positioned today because the category as a whole, you're not losing energy drink consumers. People are not giving up caffeine. In fact, people are moving into the category.

They're giving up sugar, where sugar-free has now gone to over 50% of the category for the first time. People are trending towards functional, and when you look at all those boxes, sugar-free, functional, Celsius checks all those boxes. So, we feel like we're really well-positioned for 2025 and a return to normalcy for the category.

Now, what are we doing to really grow the brand? Well, number one, Celsius is a ton of space that we captured in 2024 that we feel like we're ready to capitalize on in '25 as the macro factors start to turn. We've been having great conversations with our retail partners for 2025, so hopefully there's some more space to be gained.

Number two, innovation. We've got a ton of innovation out there. I mean, you were out at NACS, the National Convenience Store Trade Show out in Vegas. You had a chance to sample much of our innovation, six different SKUs that we've talked about thus far and two in our essential 16-ounce line, two in our vibe line, and two in our core line.

The other piece that they already referenced is the sugar-free component. I mean, this is a trend that you see Monster is moving into even more so. Red Bull, for the first time, is really driving these sugar-free part of their portfolio, and we think this is a great thing. We want people to turn around the Red Bull and the Monster cans and see how much sugar is in a 16-ounce Monster, 55 grams of sugar, and if they can start transitioning their core audience into sugar-free, we think that's great for Celsius. So, 2025 is a year we're really excited about.

Q - Eric A. Serotta {[BIO 6103216](#) <GO>}

Great. And maybe staying on the competition area, Red Bull clearly has had a lot of early success or initial success with some of their sugar-free flavor SKUs. I know you talked about it as being sort of a net over time positive as the category transitions more towards sugar-free. But at the same time, Monster is also making a bigger push there. So, I guess, what are you kind of doing to protect your position in that sugar-free, more of a lifestyle segment and then go back on the offense?

A - Toby David {[BIO 20749891](#) <GO>}

Yes, sure. I mean, Celsius been around a lot longer than most people realize. I mean, we've really been around probably 15 years or more in a real way, meaningful way. And we've been sugar-free this entire time. So, we feel like if they're going to push Monster and Red Bull, this sugar-free agenda, we think that's great. We want them to push that. We want them to transition their existing core audience into sugar-free because we feel like we can win on taste versus anybody, especially when it's sugar-free versus sugar-free.

So, we encourage them to do it. It's going to be short-term noise. I mean, anytime Red Bull, they're 37% of the category. Anytime they do something, it's going to be disruptive. But that's a short-term way to look at things. We feel like we're really well-positioned with our innovation, with our marketing tactics and with really our legacy and authentic sugar-free brand that as people continue to move into sugar-free, we're really well-positioned.

Q - Eric A. Serotta {[BIO 6103216](#) <GO>}

Great. And then just staying on competition for a moment, Alani has had some nice momentum this year. They were a little promotional at the start of the summer, but some of their fall seasonal

did well. And I think you could look back and say they've done a nice job this year. So, I know they interact a bit with your female consumer. I guess, where do you see the interaction between Celsius and Alani? And I guess, what are you kind of doing to kind of protect the competitive moat there?

A - Toby David {[BIO 20749891](#) <GO>}

Yes, sure. I mean, Alani is a really nice brand. They've done a great job this year. I think they're up -- depending on the poll you're looking at, they're roughly in the low-4s from a market share perspective. They're predominantly a female-oriented brand. So, I suppose that because we over-index female, while we're still 50-50 roughly that if they're going to source from anyone, it's probably going to be a little bit from Celsius. There's a little bit of cross over there. I mean, I've definitely encountered people, especially females, who drink both Celsius and Alani Nu. So, they've done a really good job with their limited-time offerings. We call them LTOs.

You mentioned that they had their witch's brew they just came out with, and they typically see a spike in market share. Then it comes back down. Then they're doing a winter wonderland now a spike comes back down. They're probably going to end up picking up a little bit of market share over these LTOs that they're driving.

But when I look at Celsius, we're more of broad brand. We're touching on both males and females of many different demographics. Whether it's a younger generation, whether it's this 35 to 45. So, while we look at Alani as a competitor, it's no different than Red Bull and Monster. So, we look at it as, we're not going to be on the defensive, we're going to be on the offensive. Because we feel like the best defense is a good offense.

Q - Eric A. Serotta {[BIO 6103216](#) <GO>}

Great. And then coming back to the distribution and shelf space that you mentioned, I think, in response to my initial question. Obviously, the big, somewhat belated but large shelf space gain this year, which unfortunately coincided with the category slowing. How are you looking at the space and distribution potential from here? Whether it's, I guess, we could separate it into space, items per store, even doors.

A - Toby David {[BIO 20749891](#) <GO>}

Yes. '23 and '24 Celsius saw quite a bit of space gains. This year in particular, I think we saw about a 45% uptick with inconvenience. So, it was unfortunate that that coincided with the slowdown with inconvenience. What we've said publicly is we've had very positive conversations with our retail partners for '25. So, what that means is I think we're well positioned to hopefully capture some more space, but that's yet to be determined as far as what we're disclosing.

But in general, with the space that we captured in '24 that we weren't able to capitalize on because of the slowdown, when the category does turn, and we feel like we're starting to see like some of that turn right now start to occur that we're really well positioned, especially with inconvenience.

So, Celsius, about 55% of our sales are coming through convenience, where it's about 65% for the category of the Red Bulls and the Monsters of the world. We know how well we perform in the largest convenience store chain in the country. And if we're able to close that gap from where we are with inconvenience as far as market share and get even close to where we are at 7-Eleven, then we're going to be really well positioned. So, we know we can succeed with

inconvenience. We feel really good about 2025, we have the right marketing plans, the right innovation, and really feel good about it.

Q - Eric A. Serotta {[BIO 6103216](#) <GO>}

Great. And I can't really talk about space without talking about velocity. Obviously, the velocity has been a bit softer than you were expecting that everyone was expecting this year. Not really unusual given the distribution is still running up 30%, 40%. So, what do you think drives an improvement in Celsius velocities from here? And any perspective as to how your velocities compare to the Alani's and Ghosts out there and sort of how do you close the gap with Monster and Red Bull?

A - Toby David {[BIO 20749891](#) <GO>}

Yes, sure. I mean, obviously Red Bull and Monster are kind of in a league of their own right now as far as their performance. Now, their data is a little bit not apples-to-apples because they have their power SKUs, so you go into a convenience store, and you'll see one Green Claw. You'll see the Green Claw Monster, which might have two full shelves of one SKU, but that's only ringing as one TDP or one SKU in the data. So, it's not really a fair apple-to-apples there, just kind of put that out there.

I think when you look at us versus many of our other peers, even though we have 20 SKUs on average on the shelves, and they have six or so, and they're only in 65% of the most productive ACV, and we're at 98%. We're either at velocity or exceeding velocity for the Ghosts and the C4s of the world. So, when we're going in and meeting with the retailers, we have a great story to sell, number one.

Number two, we're not happy, though, with our velocity. If we ultimately want to be able to capture a Monster or a Red Bull, we need to get up to their levels. And as you mentioned, our velocity did dip. And we've seen that in '23 and '24 where there'd be a dip and then a pickup once we're able to grow into that additional TDP, total distribution points. This year, unfortunately, when we were anticipating that pick back up is when the slowdown really occurred.

So, what are we doing? Because we don't want to just drive like or just blame the macro factors. While that is a factor, we need to be in control of our own destiny. So, we're focusing on three different things, more people, more placements and more often. So, more people, we need to bring more people into the category. And then we need to bring more people into the category.

And then we also need to get some brand shipping in there. The new to category has really been a strength for us historically about 45% of our growth has been new to category. During the slowdown, it's really been negligible for everybody. So, we think as the category turns that's going to be an opportunity for us.

The second element is more placements. So, we need to continue to expand our distribution points. We kind of talked about that already. We feel really good about our opportunities for 2025 based on our conversations with retailers.

And the third element of what's going to drive velocity is more often, which is greater frequency of consumption. That's going to be what drives velocity. Get our core base and get them to consume more Celsius. So, instead of drinking maybe one Celsius a week, you get somebody on average drinking one and a half Celsius a week. It's amazing how much of a needle mover that can make. That's what Monster does. That's what Red Bull does. And that's what Celsius is going to have to do.

Q - Eric A. Serotta {BIO 6103216 <GO>}

And what do you have within your control to sort of drive that or push that, obviously you're not controlling how much people are drinking. But how do you stimulate the demand for the existing user to drink more?

A - Toby David {BIO 20749891 <GO>}

Yes. That's a good question. So, the new to category can be difficult during a stagnated kind of macro situation since nobody's coming into the category at this moment in time. So, that's where the target with Red Bull is doing a really good job of actually with a lot of their LTOs and their innovation is driving greater frequency within their existing consumer base.

So, there's a couple things we can do. We can do that. We can innovate and give our existing audience some new flavors to try and maybe bring them in on a more frequent basis. And there's different marketing tactics. I mean, I don't want to get into too many specifics, but whether it's digital or social, you have a pretty good idea of who is an existing Celsius consumer based on the footprint that they leave online. And you're able to maybe target them in particular ways that can hopefully push them to maybe go grab a Celsius when they otherwise would have maybe grabbed a coffee or nothing at all.

Q - Eric A. Serotta {BIO 6103216 <GO>}

Turning now to the Pepsi inventory levels. First, in retrospect, what were the drivers of the big destocking that you saw this year? And then kind of what's your visibility from here as you sit here on December 3? I know Jarrod made some comments on the third quarter call that kind of expecting anything from a slight tailwind to a \$15 million headwind. Six weeks later, where are we tracking versus that, realizing there's always a little bit of wiggle room around year end?

A - Toby David {BIO 20749891 <GO>}

Yes. I would say as far as the last part of your question that nothing has really changed as far as the last six weeks. We still think probably the \$15 million headwind seems like the max. Although, as you said, anything can potentially change at the end of the year. So, we feel pretty good about that. We have great visibility into what Pepsi's holding right now. So, there's really nothing to add other than what Jarrod mentioned as far as on the Q3 earnings call.

As far as what's happened this year, I mean, I know you're well aware, many in the room are well aware. I mean, we saw some inventory draw downs from Pepsi. Listen, they're just trying to optimize their system. Last year was the first full year with Pepsi. And we're \$1 billion brand growing at 100% growth rate. And that's not an easy new entrance into your distribution system. So, they made sure that they carried plenty of Celsius to make sure they were able to adequately service accounts.

As we -- in every quarter, we would speak very transparently about what we were seeing on the earnings calls. And in Q1 and Q2, we saw a little bit of inventory pullback, as they were trying to get more and more efficient with their business. And then Q3, we saw the really large drawdown. That being said, we have very candid conversations with Pepsi. We have a great relationship with them. They've optimized their system quite well. And we feel like we're really at a good place as we head into '25 that hopefully these aren't really conversations that we have to have moving forward.

Q - Eric A. Serotta {BIO 6103216 <GO>}

Great. And then staying with Pepsi, clearly one of the benefits of getting on the Pepsi trucks was access to a lot of these alternative channels, non-track channels. We all get the tracked channel data by weekly, a lot of people in the room get it weekly. But can you give us some perspective as to how the business is progressing with Pepsi on a takeaway basis, not a sell-in but a sell-out basis with some of these non-track channels like food service, college and universities, hospitals, hotels?

A - Toby David {[BIO 20749891](#) <GO>}

Yes. For sure. Food service is really an area where we feel like we can differentiate ourselves from most of our peers within energy because of the different usage occasions of Celsius, predominantly within the true food portion of what is classified as food service within Pepsi. We've had a relationship with Jersey Mike's, for example, and that's gone very well for us as we see people like to pair their Celsius with their subs from Jersey Mike's. And that's something you don't typically see someone drinking a Monster or a Red Bull with a sandwich at lunch.

So, we feel like food service is a great opportunity, but what also falls under food service with Pepsi are hospitals, hotels, vending, college and university. College and university is really critical. It's a great opportunity to get into bed with these early adopters. Hospitals, it's amazing. These folks work really long hours, work night shifts, and they've been consuming some of our competitor drinks for years, and these are nurses and doctors that probably want to have something a little better and higher quality and more premium, and we're seeing quite a bit of success in the hospitals where we've been able to gain entry.

So, food service is a great opportunity, not just from revenue, but also just to touch folks in a different way, not just at convenience, not just in grocery or a Walmart, but to touch them where John Fieldly, our CEO says, we like to touch folks where they live, work and play, and the more times you can touch someone, the more likely you're able to get trialed and eventually a long-time consumer.

Q - Eric A. Serotta {[BIO 6103216](#) <GO>}

And then you guys have been pretty successful over the years. Your drill deep strategy has served you well, where focusing on a limited number of markets and really driving the share there and driving your activations and then sort of expanding that over time.

How are you looking at that strategy for 2025? Is it more markets? Is it staying, drilling deeper with the markets that you have? It's '25, a bit of a backfill and recovery year? And then when you look at some of your more developed markets today, kind of what's the latest on your positioning in, I think there was -- was it a dozen markets at 15% share or something along those lines? What's the latest figures today?

A - Toby David {[BIO 20749891](#) <GO>}

Yes, sure. So, the drill deep strategy has really been something we've focused on. I joined the company beginning of 2013. We were a turnaround company at this point, at that point in time, we focused on five markets around the country. It was New England, South Florida, Tampa, Dallas, and Los Angeles. And we just poured all of our resources from a sales and marketing perspective into those markets. About four years later or so, we picked up big guys in New York as our distribution partner and determined New York really needed to be a drill deep market. So, they became our sixth.

And then I believe is in '20 or '21 we expanded to about 20 markets in total roughly and really that's kind of like the foundational thing. That's really driven to these to your point that the 12 plus markets that are at 15 share or more, and it's about concentrating resources into these markets. It's like the 80-20 rule. You want to go to the most productive energy drink markets in the country. You want to win there. And we've been able to do that at a pretty nice rate thus far, you look at South, Florida we have a mid-20 share you look at New York we're close to 20 Boston same close to 20.

Then you have some of the largest markets in the country like a Los Angeles where we're over 15 share. But then you have some of these markets in the middle America like Minneapolis, Detroit, Chicago where we're showcasing ability to have a really strong share number. So, we can win across the country as far as 2025, we -- I don't want to get too many into too many specifics, but we do have our same drill deep strategy. We're going to focus more resources into those drill deep markets in 2025 and we think that that really showcases what the opportunity is with Celsius.

When you have a mid 20 share in South, Florida there's nothing that we're doing there that we can't replicate in other markets. And we've been able to see that in New York and Boston some others are referenced. So, we're going to continue to do that and we're going to continue to -- hopefully grow the brand and take us to the next step and we'll see where that goes.

Q - Eric A. Serotta {BIO 6103216 <GO>}

Great. Can we come back to the source of volume and the bringing in new users, the creating new occasions? You mentioned how that's kind of dried up a bit during, tougher time to the category. I guess what gives you the confidence that that reaccelerates with macros? Have we had the category or the brand? I'm not saying it has but has it matured to a point where you're -- where maybe you're just bringing in fewer users because more people have tried it in the past.

A - Toby David {BIO 20749891 <GO>}

Yes. I think if we were the only one experiencing that right now, then that would be a concern but looking at the data it really is, pretty clear that Red Bull, Monster and our peers are all having difficulty bringing new consumers right now, which makes sense. In the macro environment right now if you're trying to save money. You're probably going to buy things you're already purchasing at less frequency.

But you're certainly going to be less likely to start jumping into new categories that you've never had before. And you're seeing that across the board within our category. We just think it's impacting us at a little bit more of an outsized measure than Red Bull and Monster because, 45% was our new to category rate, heading into this year. So, I don't, which is higher than both Red Bull and Monster. So, it's affecting us a little bit more.

So, right now we're focused more on the frequency of consumption and that's something that we're really confident that we're going to be able to do a good job with but then as the category starts to turn and as consumers are ready to come back in, we really feel good about it. Not -- listen, but all consumer goods is really feeling the pinch the last six or seven months.

This doesn't feel like a maturation of Celsius or of the energy category. It's really just like -- consumer confidence is starting to bounce back. Really, really feel confident that the energy category is really primed to get back to normalcy in 2025. The question is how soon, but we're starting to see some of these breadcrumbs trickle out that seem to be indicative of that it's coming sooner rather than later.

Q - Eric A. Serotta {BIO 6103216 <GO>}

Yes. The category does seem to have picked up in scanner over the past six, eight weeks or so. Are there any -- that's the main breadcrumbs that I see. Are there other breadcrumbs that you could share with us in terms of category pickup or is it more what you're seeing in terms of the scanner and --

A - Toby David {BIO 20749891 <GO>}

Yes. Listen, the scanner is the data, right? So, that's really important to see, but also just conversations we've had with retailers. You mentioned NACS, the convenience store trade show that both of us were at not too long ago. Just the conversations with the convenience store, retailers they were really confident that things were starting to pick up.

I think we're seeing -- gas start to come down in price, which hopefully will show that there will be more foot traffic coming through, which then again leads to more trial and consumption of energy, and in particular Celsius. I mean, really that's the big thing for us is convenience is a big opportunity, but it's really the trial at convenience, getting that single-serve trial from them, and then they can go to Walmart or Publix or wherever they choose to buy in bulk, or Costco or Amazon, where we do well at both Costco and Amazon, and get people to go from trial to purchasing for the household for monthly packs.

Q - Eric A. Serotta {BIO 6103216 <GO>}

Great. So turning to margins. So, despite some exaggerated quarterly volatility this year with the whole Pepsi inventory move and the related promotional accounting. You've said you're basically on track to come in, in line with the initial high-40s gross margin target for the year. So, can you discuss some of the puts and takes for gross margins as we look out to next year in an environment of top line hopefully normalizing?

A - Toby David {BIO 20749891 <GO>}

Yes. We haven't given any kind of direction yet for 2025, so I'll leave that to John or Jarrod to really get into. As far as long-term, we still feel like the Monster benchmark is where we certainly feel like we can get to from a gross margin and then bottom-line standpoint. For this year, Q3 was a challenge because of the inventory issues that we saw with Pepsi, but I think you saw in Q1 and Q2 some really strong margins in the low-50s from a gross profit standpoint. EBITDA was really strong as well.

We're kind of coming into that upper-40s to round out the year as we've been a little bit more promotional in the back half of the year. We do have the incentive agreement with Pepsi, which is a little bit of pressure on the margin, especially compared to Q4 last year, where it wasn't into place yet. But other than that, we feel really good about it.

As we head into '25, inventory situation should be normalized. We feel like we should get back to, again, I hate to continue the word normalize, we get back to a normalized cadence from a sales and marketing perspective, from a gross profit perspective. We acquired Big Bev, which was a co-packer of ours out of North Carolina. We certainly feel like that's going to be a creative for us and be able to really produce for a large part of our Southeast United States business. So, that's going to be an opportunity to drive some margin as well.

Q - Eric A. Serotta {BIO 6103216 <GO>}

Great. And then so medium term, you mentioned the Monster as the gold standard or as the bogey here. So, I guess what are the building blocks to take you from high 40s to Monster kind of margin over time, adjusting for the freight accounting difference?

A - Toby David {BIO 20749891 <GO>}

Sure. Yes. As far as on the gross profit, we're going to continue to drive costs out of the system. We're getting more direct business straight from the actual manufacturers and cutting out the brokers. That's a good opportunity for us. We're going to continue to win on the supply side. We have Paul Storey, who's our Head of our Chief Supply Chain Officer who came from running global ops over at Monster and previous to that Rockstar. So, we really have a best-in-class ops team there.

When you look at what the vertical integration that Monster has been able to do over the years, they acquired their flavor house more than a decade ago. They've got a couple different production facilities now that they leverage. I think that could be a continued opportunity for us. Like right now, we have our East Coast production facility. Maybe down the road, we look at looking at a West Coast, although that's down the road. We're not necessarily looking at that now.

Sales and marketing, we're at roughly 20% to 23% of revenue typically. I know Monster comes in quite a bit less than that. Now they're a mature brand that's been able to build their brand over 20 plus years, so we're not ready to lever the company yet and that's really the key is. When we're ready to lever, we could pull a lot of different strings that would tie out on the promotional line as well as in the sales and marketing line, and then we'll continue to refine the G&A line.

Q - Eric A. Serotta {BIO 6103216 <GO>}

Great. And then turning to pricing, so Monster went out with their 5% price increase November 1. I think you said on the second quarter call that you'd be taking pricing this year, but you weren't expecting it to show up in results. So, what have you done in terms of pricing to date, both in terms of list and shelf price? And I'll follow up with something else.

A - Toby David {BIO 20749891 <GO>}

Yes, sure. Yes, we indicated in the Q2 earnings that we would be taking pricing the back half of this year. We also stated, as you pointed out that we would not be seeing necessarily a benefit to that pricing because we just felt like the consumer wasn't ready for a price increase, which I think held true. What we did was we dealt the back through promotions or shopper marketing programs, some other above the line treatments.

As we move into '25, it gives us flexibility as far as evaluating the consumer and determining can we get the full benefit of the pricing that we took? Or do we need to deal some back? At some point though, we do feel like this is going to be beneficial for us in 2025, just the amount that we end up fully capturing, we haven't yet spoken to.

Q - Eric A. Serotta {BIO 6103216 <GO>}

Great. And then even though Monster's gone out with pricing, price increase for November, we were talking earlier, there's been some pretty hot price points in the market, bang for \$1 a can. I think I gave you the example in Connecticut of Monster at four for \$8, which \$2 a can price. I think you'd probably have to go back to 2017, 2018 to find that kind of promo. So, I guess you could always find crazy pricing in some market, but I guess what are you seeing in terms of the overall

promotional environment for the category? And is that short term noise with Monster and you guys taking pricing or is this?

A - Toby David {BIO 20749891 <GO>}

It's been very aggressive, the pricing, you mentioned it, Monster. I've seen them on BOGO with their core Green Claw can at Publix down in Florida. You mentioned Bang for \$1 at 7-Eleven, very aggressive, Rain and Rainstorm for BOGO, I've seen Ghost and C4 on BOGO. Red Bull, ultra premium price here in the U.S. and you've seen them discounting a little bit more -- with more frequency and they're still priced at a pretty good premium there.

So, the category as a whole has been very, very competitively discounting. We feel like we've been in line with the category. We probably promote a little bit more in terms of frequency, but I think the depth of our promotions is really in line. You don't see us, first of all, doing BOGOs, number one.

But one of our strategies has been promoting, even if the depth isn't too deep on the discount, because we want to be able to get those off shelf displays. And a lot of retailers won't allow you to be off shelf on the displays, unless you're actually promoted. So, it's just part of our strategy is maybe greater frequency, but a little bit less depth.

So, it will be interesting to see what Monster ends up doing as far as their pricing. They put it in effect last month, as you said. So, I think once we get into January, we'll have probably a month and a half, two months' worth of data to evaluate. Did they discount it back? Did they capture most of it? It appears Red Bull captured most of their pricing this year. So, the Monster consumer's a little bit different. So, it'll be interesting to see what they end up doing.

Q - Eric A. Serotta {BIO 6103216 <GO>}

Yes. And then Red Bull certainly had a lot of traction with their sugar-free flavors. Sometimes with these in and outs, you see them hit and then kind of fade. You know, Monster, it sort of seems like -- showing some traction with this ultra vice guava, cynic could say, well, how's that different from last year's strawberry dreams? I guess, what are your expectations in terms of some of this new innovation? Is this game changing for these competitor brands? Or is this just kind of the typical innovation that you see?

A - Toby David {BIO 20749891 <GO>}

Yes. I mean, Monster is always been innovating, it feels like. So, I don't think this is anything new for them. I mean, obviously, they're trying to make a bigger push in the sugar-free, but they've already had a pretty good presence within sugar-free. They're the number one sugar-free brand in the country. We're right behind them in terms of total dollar sales. And then Red Bull lags -- a decent amount behind both of us.

Red Bull is innovating more than they have historically. I don't know if that's something that's coming out of Austria and that they're more comfortable with the new leadership over there. But from what we've seen, it feels like most of their innovation has been cannibalizing a lot of their existing sales. But what they're also doing is they're just picking up more frequency. I don't know if they're necessarily picking up more consumers.

So, for Celsius, we're going to focus in on our innovation and we're going to focus on, as I mentioned earlier, driving greater frequency with our innovation. And then hopefully as the category starts to turn, that innovation will help bring new to category as well.

And I also mentioned it earlier, listen, it's short-term, it's going to be noisy whenever Red Bull and Monster do anything. But if they're going to continue to push sugar-free and steer their customers into it, we love that. We think that's great for the sugar-free portion of the category and we think it's great for Celsius because we know we can win on taste, sugar-free versus sugar-free.

Q - Eric A. Serotta {BIO 6103216 <GO>}

Yes. And in terms of the -- well, maybe touch on international first. Canada sort of had a really strong start out of the gate and got to five shares in Canada in less than a quarter or so. What's the latest in terms of -- how you've done in Canada since then? And then can you update us in terms of the initial progress in the UK and then when some of the other markets that you announced with Centauri are coming online?

A - Toby David {BIO 20749891 <GO>}

Yes, sure. Canada really blew away everyone's forecast, both ours and Pepsi's. As you mentioned, we jumped out to a five share almost overnight up there. I think it was in six weeks, which was really astronomical.

So, unfortunately, when you blow through your forecast, your supply chain gets a little bit of a disruption. So, we're a ballpark in the same neighborhood right now, but we feel like we're really, really well positioned for '25. We've got a lot of retail excitement, consumer excitement, probably going to get some more skews on the shelf across the country up there next year. So, Canada got off to a great start.

As far as, let's say it's called the Centauri countries that we're working with, UK, we entered there in June. We launched the fitness channel as well as a certain segment of the Tesco stores. We've seen some really nice results in some of the stores thus far. It's really way too early in a market that size and with the scale of investment that we've put in thus far to make any early tea leave readings, so we feel pretty good about '25 in UK. But as we've always mentioned, it's going to be a methodical approach. We're not going to have a burn on cash to go into these markets. But again, we feel really good about the UK.

Australia jumped out just -- I think we launched here six weeks ago, jumped off to a great start. So, we're seeing the same trends globally that we're seeing here in the U.S., where people are looking for sugar free, they're looking for functional. Some of the governments around the world are putting sugar taxes out there, which again, is going to be beneficial to a brand like Celsius when we go into these countries.

Q - Eric A. Serotta {BIO 6103216 <GO>}

Yes. And then just coming back to the U.S. a bit, can you remind us in terms of what you have in terms of the innovation pipeline for this year, how that compares to previous years? I think it was last year, I guess it was late 2022 that you had essentials with 7-Eleven, and then, or late '23 that you had essentials with 7-Eleven, and then you launched that nationally earlier this year. So, is this year's innovation bigger, smaller, about the same as last year's? And anything in terms of timing or cadence?

A - Toby David {BIO 20749891 <GO>}

Yes. It's tough to compare exactly versus 2023, or '24 -- excuse me. We do have the six SKU launches that we've kind of referred to, the two essentials, the two Vibes, and the two Core

SKUs. On top of that, we probably have some other innovation that we just haven't spoken to yet. This year in '24, I don't remember off the top of my head, it had to be with the launch of Essentials, you had six SKUs go out there, and we had three Vibes. So, as I count here, I mean, we had a pretty robust innovation pipeline this year.

But on top of the innovation that we're launching next year that we've already spoken of, we've got some great flavors that are coming off exclusivity at the end of 2024, like our Cherry Cola, which just -- I really encourage everyone, once that goes, gets into your retail stores, try the Cherry Cola. We have a Watermelon Lemonade and a Kiwi Strawberry that all taste phenomenal. So, we have a number that are coming off exclusive, as well as our innovation that are really some of the top flavors we've put out there. Really excited about it.

Q - Eric A. Serotta {BIO 6103216 <GO>}

Great. And then performance on Amazon has been pretty robust this year. Any read in terms of Prime Day, any sort of change in focus in terms of your dealing with Amazon or you're marketing on the Amazon platform?

A - Toby David {BIO 20749891 <GO>}

Yes. It's still been a priority for us. I mean, we feel like that's really indicative of what the opportunity is for Celsius. I mean, we really toggle back and forth with Monster for number one on the platform, over a 20 share. I mean, listen, Amazon, we don't have some ace up our sleeve that we're tricking the algorithm.

It's where space is not really -- Red Bull and Monster aren't winning on space there, and we're able to get that 20 share. So, we had what Cyber Monday was yesterday. I haven't talked to the team yet. I've been kind of grinding away here today with you, Eric. But Amazon is really important for us because we do feel like it's indicative of what the opportunity is for Celsius, and we continue to perform there.

Q - Eric A. Serotta {BIO 6103216 <GO>}

Great. So, to keep you on time and wrap up here, the energy category has always been competitive, nothing new to you or Celsius or to anyone in this room. What do you look at as you know sort of what really differentiates Celsius from either the challenger brands below you or the Monster and Red Bull as the incumbents that you've been taking on over the years?

A - Toby David {BIO 20749891 <GO>}

Yes. I mean, I would say that when you look at us versus Red Bull and Monster, clearly, we have more of a fitness, lifestyle, like a combination of a fitness lifestyle positioning. And then you've seen a lot of newer brands come up with maybe that similar fitness type proposition.

I would just say we've been out there for 15 plus years, building up this authentic base that creates a healthy halo of this better-for-you, whereas you've got these upstarts, and listen, very solid brands, but I don't know if they necessarily have the same credibility that we do between our clinical studies, the better-for-you portion, the cleaner packaging, the way that we're able to have a really differentiated demo both split male and female, and across the board different age range, whether it's young or old.

So, we really feel good about our proposition. Our usage occasions are very different than our peers where I can't remember ever seeing somebody drinking a Monster with their lunch, or

even a Ghost or a C4 one of those drinks. So, I feel really good about our proposition and the way we're able to differentiate ourselves.

Q - Eric A. Serotta {BIO 6103216 <GO>}

Great. Well, with that, I want to thank you again, Toby, and I look forward to having you back here next year.

A - Toby David {BIO 20749891 <GO>}

Yep. Look forward to it. Thank you.

Q - Eric A. Serotta {BIO 6103216 <GO>}

Great. Thank you.

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